

# Reserve Report

## St Tropez at Boca Golf Property Owners Association, Inc

17215 Boca Club Blvd  
Boca Raton, Florida 33487  
For Year 2023 (Ver 2.0 - 10/27/2022)



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## ***Millman & Associates, Inc.***

**Real Estate Appraisers • Insurance Valuations  
Reserve Studies • Property Condition Reports**

**Harris M. Millman, MAI, SRA**

Dear Board Members, Managers and Unit Owners

The principals of Millman & Associates have been providing real estate appraisal, insurance valuations, reserve studies, property condition reports and general contracting and project management services since 1972. These services assist associations and developers in reaching sound financial decisions.

This report will provide you with information and alternatives that best suit the physical and financial needs of your association and will comply with the rules and statutes for your state and industry standards that may be applicable.

You are receiving accurate information that has been well researched from various sources as well as the extensive experience of our principals and associates. This saves you time and provides independent and accurate information to make reliable financial decisions.

Given the current recession and our litigious society which increases the potential liability of board members and managers, having this Reserve Study prepared by outside professionals makes for a sound financial, business and management decision.

Thank you for the opportunity to provide our service. Should you have any questions or would like to obtain information regarding our other professional services, please call us at 305-992-6445.

Sincerely,



Harris Millman, MAI, SRA  
State Certified General Appraiser RZ1730  
State Certified General Contractor CGC 011522(current/inactive)  
State Certified Roofing Contractor CCC 1327057(current/inactive)

PS. Once the initial report is completed, we can offer substantial savings on annual update reports to keep your numbers current in the years to come.

PPS- Reserve Study Reports provide all the necessary cost, life expectancies and alternative budgeting information. An annual Insurance Appraisal Report provides accurate replacement costs and cash values for insurance coverage decisions.

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# Important Information

This document has been provided pursuant to an agreement containing restrictions on its use no part of this document may be copied or distributed, in any form or by any means, nor disclosed to third parties without the expressed written permission of Millman & Associates, Inc. The client shall have the right to reproduce and distribute copies of this report, or the information contained within, as may be required for compliance with all condominium or HOA applicable regulations.

This reserve analysis study and the parameters under which it has been completed are based upon information provided to us in part by representatives of the association, its contractors, assorted vendors, specialist and independent contractors, the Community Association Institute, and various construction pricing and scheduling manuals including, but not limited to: Marshall & Swift Valuation Service, RS Means Facilities Maintenance & Repair Cost Data, RS Means Repair & Remodeling Cost Data, National Construction Estimator, National Repair & Remodel Estimator, Dodge Cost Manual and McGraw-Hill Professional, and CoreLogic Commercial Express Insurance Valuations. Additionally, costs are obtained from numerous vendor catalogues, actual quotations or historical costs, and our own experience in the field of property management and reserve study preparation.

It has been assumed, unless otherwise noted in this report, that all assets have been designed and constructed properly and that each estimated useful life will approximate that of the norm per industry standards and/or manufacturer's specifications. In some cases, estimates may have been used on assets, which have an indeterminable but potential liability to the association. The decision for the inclusion of these as well as all assets considered is left to the client.

We recommend that your reserve analysis study be updated on an annual basis due to fluctuating interest rates, inflationary changes, and the unpredictable nature of the lives of many of the assets under consideration. All of the information collected during our inspection of the association and computations made subsequently in preparing this reserve analysis study are retained in our computer files. Therefore, annual updates may be completed quickly and inexpensively each year.

Millman & Associates, Inc. would like to thank you for using our services. We invite you to call us at any time, should you have questions, comments or need assistance. In addition, any of the parameters and estimates used in this study may be changed at your request, after which we will provide a revised study.

This reserve analysis study is provided as an aid for planning purposes and not as an accounting tool. Since it deals with events yet to take place, there is no assurance that the results enumerated within it will, in fact, occur as described.

# Part I

## Introduction

Preparing the annual budget and overseeing the association's finances are perhaps the most important responsibilities of board members. The annual operating and reserve budgets reflect the planning and goals of the association and set the level and quality of service for all the association's activities.

## Funding Options

When a major repair or replacement is required in a community, an association has essentially four options available to address the expenditure:

The first, and only logical means that the Board of Directors has to ensure its ability to maintain the assets for which it is obligated, is by **assessing an adequate level of reserves** as part of the regular membership assessment, thereby distributing the cost of the replacements uniformly over the entire membership. The community is not only comprised of present members, but also future members. Any decision by the Board of Directors to adopt a calculation method or funding plan which would disproportionately burden future members in order to make up for past reserve deficits, would be a breach of its fiduciary responsibility to those future members. Unlike individuals determining their own course of action, the board is responsible to the "community" as a whole.

Whereas, if the association was setting aside reserves for this purpose, using the vehicle of the regularly assessed membership dues, it would have had the full term of the life of the roof, for example, to accumulate the necessary moneys. Additionally, those contributions would have been evenly distributed over the entire membership and would have earned interest as part of that contribution.

The second option is for the association to **acquire a loan** from a lending institution in order to effect the required repairs. In many cases, banks will lend to an association using "future homeowner assessments" as collateral for the loan. With this method, the current board is pledging the future assets of an association. They are also incurring the additional expense of interest fees along with the original principal amount. In the case of a \$150,000 roofing replacement, the association may be required to pay back the loan over a three to ten year period, with interest.

The third option, too often used, is simply to **defer the required repair or replacement**. This option, which is not recommended, can create an environment of declining property values due to expanding lists of deferred maintenance items and the association's financial inability to keep pace with the normal aging process of the common area components. This, in turn, can have a seriously negative impact on sellers in the association by making it difficult, or even impossible, for potential buyers to obtain financing from lenders. Increasingly, lending institutions are requesting copies of the association's most recent reserve study before granting loans, either for the association itself, a prospective purchaser, or for an individual within such an association.

The fourth option is to pass a "**special assessment**" to the membership in an amount required to cover the expenditure. When a special assessment is passed, the association has the authority and responsibility to collect the assessments, even by means of foreclosure, if necessary. However, an association considering a special assessment cannot guarantee that an assessment, when needed, will be passed. Consequently, the association cannot guarantee its ability to perform the required repairs or replacements to those major components for which it is obligated when the need arises. Additionally, while relatively new communities require very little in the way of major "reserve" expenditures, associations reaching 12 to 15 years of age and older, find many components reaching the end of their effective useful lives. These required expenditures, all accruing at the same time, could be devastating to an association's overall budget.

## **Types of Reserve Studies**

Most reserve studies fit into one of three categories:

Full Reserve Study;

Update with site inspection; and

Update without site inspection.

In a **Full Reserve Study**, the reserve provider with management conducts a component inventory, a condition assessment (based upon on-site visual observations), and life and valuation estimate to determine both a “fund status” and “funding plan”.

In an **Update with site inspection**, the reserve provider conducts a component inventory (verification only, not quantification unless new components have been added to the inventory), a condition assessment (based upon on-site visual observations), and life and valuation estimates to determine both the “fund status and “funding plan.”

In an **Update without site inspection**, the reserve provider conducts life and valuation estimates to determine the “fund status” and “funding plan.”

### **The Reserve Study: A Physical and a Financial Analysis**

There are two components of a reserve study: a physical analysis and a financial analysis.

#### **Physical Analysis**

During the physical analysis, a reserve study provider evaluates information regarding the physical status and repair/replacement cost of the association’s major common area components. To do so, the provider conducts a component inventory, a condition assessment, and life and valuation estimates.

#### **Developing a Component List**

The budget process begins with full inventory of all the major components for which the association is responsible. The determination of whether an expense should be labeled as operational, reserve, or excluded altogether is sometimes subjective. Since this labeling may have a major impact on the financial plans of the association, subjective determinations should be minimized. We suggest the following considerations when labeling an expense.

## Operational Expenses

Occur at least annually, no matter how large the expense, and can be budgeted for effectively each year. They are characterized as being reasonably predictable, both in terms of frequency and cost. Operational expenses include all minor expenses, which would not otherwise adversely affect an operational budget from one year to the next. Examples of **operational expenses** include:

|                        |                          |                         |
|------------------------|--------------------------|-------------------------|
| <b>Utilities:</b>      | Bank Service Charges     | Accounting              |
| Electricity            | Dues & Publications      | Reserve Study           |
| Gas                    | Licenses, Permits & Fees | <b>Repair Expenses:</b> |
| Water                  | Insurance(s)             | Minor Roof Repairs      |
| Telephone              | <b>Services:</b>         | Equipment Repairs       |
| Cable TV               | Landscaping              | Minor Concrete Repairs  |
| <b>Administrative:</b> | Pool Maintenance         | Operating Contingency   |
| Supplies               | Street Sweeping          |                         |

## Reserve Expenses

These are major expenses that occur other than annually, and which must be budgeted for in advance in order to ensure the availability of the necessary funds in time for their use. Reserve expenses are reasonably predictable both in terms of frequency and cost. However, they may include significant assets that have an indeterminable but potential liability that may be demonstrated as a likely occurrence. They are expenses that, when incurred, would have a significant effect on the smooth operation of the budgetary process from one year to the next, if they were not reserved for in advance. Examples of reserve expenses include:

|                       |                                    |
|-----------------------|------------------------------------|
| Roof Replacements     | Park/Play Equipment                |
| Painting              | Pool/Spa Re-plastering             |
| Deck Resurfacing      | Pool Equipment Replacement         |
| Fencing Replacement   | Pool Furniture Replacement         |
| Asphalt Seal Coating  | Tennis Court Resurfacing           |
| Asphalt Repairs       | Lighting Replacement               |
| Asphalt Overlays      | Insurance Deductibles              |
| Equipment Replacement | Structural/Recertification Studies |
| Interior Furnishings  |                                    |

## Budgeting is Normally Excluded for:

Repairs or replacements of assets which are deemed to have an estimated useful life equal to or exceeding the estimated useful life of the facility or community itself or exceeding the legal life of the community as defined in an association's governing documents. Examples include the complete replacement of elevators, tile roofs, wiring and plumbing. Also excluded are insignificant expenses that may be covered either by an operating or reserve contingency, or otherwise in a general maintenance fund. Expenses that are necessitated by acts of nature, accidents or other occurrences that are more properly insured for, rather than reserved for, are also excluded.

## Financial Analysis

The financial analysis assesses the association's reserve balance or "fund status" (measured in cash or as percent fully funded) to determine a recommendation for the appropriate reserve contribution rate in the future, known as the "funding plan".

### **Preparing the Reserve Study**

Once the reserve assets have been identified and quantified, their respective replacement costs, useful lives and remaining lives must be assigned so that a funding schedule can be constructed. Replacement costs and useful lives can be found in published manuals such as construction estimators, appraisal handbooks, and valuation guides. Remaining lives are calculated from the useful lives and ages of assets and adjusted according to conditions such as design, manufactured quality, usage, exposure to the elements and maintenance history.

By following the recommendations of an effective reserve study, the association should avoid any major shortfalls. However, to remain accurate, the report should be updated on an annual basis to reflect such changes as shifts in economic parameters, additions of phases or assets, or expenditures of reserve funds. The association can assist in simplifying the reserve analysis update process by keeping accurate records of these changes throughout the year.

### **Funding Methods**

From the simplest to the most complex, reserve analysis providers use many different computational processes to calculate reserve requirements. However, there are two basic processes identified as industry standards: the cash flow method and the component method.

The cash flow method develops a reserve-funding plan where contributions to the reserve fund are designed to offset the variable annual expenditures from the reserve fund. Different reserve funding plans are tested against the actual anticipated schedule of reserve expenses until the desired funding goal is achieved. This method sets up a "window" in which all future anticipated replacement costs are computed, based upon the individual lives of the components under consideration. The Pooled (aka Threshold) and the Current Assessment funding models are based upon the cash flow method.

The component method develops a reserve-funding plan where the total contribution is based upon the sum of contributions for individual components. The component method is the more conservative of the two funding options and assures that the association will achieve and maintain an ideal level of reserve over time. This method also allows for computations on individual components in the analysis. The Component Funding model is based upon the component methodology.



## Funding Strategies

Once an association has established its funding goals, the association can select an appropriate funding plan. There are four basic strategies from which most associations select. It is recommended that associations consult professionals to determine the best strategy or combination of plans that best suit the association's need. Additionally, associations should consult with their financial advisor to determine the tax implications of selecting a plan. Further, consultation with the American Institute of Certified Public Accountants (AICPA) for their reporting requirements is advisable. The four funding plans and descriptions of each are detailed below. Associations will have to update their reserve studies more or less frequently depending on the funding strategy they select.

**Full Funding**---Given that the basis of funding for reserves is to distribute the costs of the replacements over the lives of the components in question, it follows that the ideal level of reserves would be proportionately related to those lives and costs. If an association has a component with an expected estimated useful life of ten years, it will set aside approximately one-tenth of the replacement cost each year. At the end of three years, one would expect three-tenths of the replacement cost to have accumulated, and if so, that component would be "fully-funded." This model is important in that it is a measure of the adequacy of an association's reserves at any one point of time and is independent of any particular method which may have been used for past funding or may be under consideration for future funding. This formula represents a snapshot in time and is based upon current replacement cost, independent of future inflationary or investment factors:

Fully Funded Reserves = **Age** divided by **Useful Life** the results multiplied by **Current Replacement Cost**

When an association's total accumulated reserves for all components meet this criterion, its reserves are considered "fully-funded."

The **Pooled or Threshold Funding Model (Minimum Funding)**. The goal of this funding method is to keep the reserve cash balance above zero. This means that while each individual component may not be fully funded, the reserve balance overall does not drop below zero during the projected period. An association using this funding method must understand that even a minor reduction in a component's remaining useful life can result in a deficit in the reserve cash balance. This method does not restrict the use of reserve funds to any one component which is required by the Component Funding Model.

The **Alternat Pooled or Threshold Funding Model**. This method is based upon the cash flow funding concept. The minimum reserve cash balance in threshold funding, however, is set at a predetermined dollar amount (other than \$0).

The **Current Assessment Funding Model**. This method is also based upon the cash flow funding concept. The initial reserve assessment is set at the association's current predetermined fiscal year funding level or an alternate funding level determined by the Board and unit owners utilizing a 30-year projection which is calculated to illustrate the adequacy of the current funding over time.

The **Component Funding Model**. This is a straight-line funding model. It distributes the cash reserves to individual reserve components and then calculates what the reserve assessment and interest contribution (minus taxes) should be, again by each reserve component. The current annual assessment is then determined by summing all the individual component assessments, hence the name "Component Funding Model". This is the most conservative funding model. It leads to or maintains the fully funded reserve position. The following details this calculation process.

### Component Funding Model Distribution of Accumulated Reserves

The "Distribution of Accumulated Reserves Report" is a "Component Funding Model" calculation. This

distribution **does not** apply to the cash flow funding models.

When calculating reserves based upon the component methodology, a beginning reserve balance must be allocated for each of the individual components considered in the analysis, before the individual calculations can be completed. When this distribution is not available, or of sufficient detail, the following method is suggested for allocating reserves:

The first step the program performs in this process is subtracting, from the total accumulated reserves, any amounts for assets that have predetermined (fixed) reserve balances. The user can “fix” the accumulated reserve balance within the program on the individual asset’s detail page. If, by error, these amounts total more than the amount of funds available, then the remaining assets are adjusted accordingly. A provision for a contingency reserve is then deducted by the determined percentage used, and if there are sufficient remaining funds available.

The second step is to identify the ideal level of reserves for each asset. As indicated in the prior section, this is accomplished by evaluating the component’s age proportionate to its estimated useful life and current replacement cost. Again, the equation used is as follows:

Fully Funded Reserves = (Age/Useful Life) x Current Replacement Cost

The Millman & Associates, Inc. software program performs the above calculations to the actual month the component was placed-in-service. The program projects that the accumulation of necessary reserves for repairs or replacements will be available on the first day of the fiscal year in which they are scheduled to occur.

The next step the program performs is to arrange all of the assets used in the study in ascending order by remaining life, and alphabetically within each grouping of remaining life items. These assets are then assigned their respective ideal level of reserves until the amount of funds available is depleted, or until all assets are appropriately funded. If any assets are assigned a zero-remaining life (scheduled for replacement in the current fiscal year), then the amount assigned equals the current replacement cost and funding begins for the next cycle of replacement. If there are insufficient funds available to accomplish this, then the software automatically adjusts the zero remaining life items to one year, and that asset assumes its new grouping position alphabetically in the final printed report.

If, at the completion of this task, there are additional moneys that have not been distributed, the remaining reserves are then assigned, in ascending order, to a level equal to, but not exceeding, the current replacement cost for each component. If there are sufficient moneys available to fund all assets at their current replacement cost levels, then any excess funds are designated as such and are not factored into any of the report computations. If, at the end of this assignment process there are designated excess funds, they can be used to offset the monthly contribution requirements recommended or used in any other manner the client may desire.

Assigning the reserves in this manner defers the make-up period for any under-funding over the longest remaining life of all assets under consideration, thereby minimizing the impact of any deficiency. For example, if the report indicates an under funding of \$50,000, this under-funding will be assigned to components with the longest remaining lives to give more time to “replenish” the account. If the \$50,000 under-funding were to be assigned to short remaining life items, the impact would be felt immediately.

If the reserves are under-funded, the monthly contribution requirements, as outlined in this report, can be expected to be higher than normal. In future years, as individual assets are replaced, the funding requirements will return to their normal levels. In the case of a large deficiency, a special assessment may be considered. The program can easily generate revised reports outlining how the monthly contributions would be affected by such an adjustment, or by any other changes that may be under consideration.

### **Funding Reserves**

Three assessment and contribution figures are provided in the report, the “Monthly Reserve Assessment Required”, the “Average Net Monthly Interest Earned” contribution and the “Total Monthly Allocation to Reserves.” The association should allocate the “Monthly Reserve Assessment Required” amount to reserves each month when the interest earned on the reserves is left in the reserve accounts as part of the contribution. Any interest earned on reserve deposits, must be left in reserves and only amounts set aside for taxes should be removed.

The second alternative is to allocate the “Total Monthly Allocation” to reserves (this is the member assessment plus the anticipated interest earned for the fiscal year). This method assumes that all interest earned will be assigned directly as operating income. This allocation takes into consideration the anticipated interest earned on accumulated reserves regardless of whether or not it is actually earned. When taxes are paid, the amount due will be taken directly from the association’s operating accounts as the reserve accounts are allocated only those moneys net of taxes.

### **Users’ Guide to your Reserve Analysis Study**

Part II of your Report contains the reserve analysis study for your association. There are seven types of reports in the study as described below.

### **Report Summaries**

The Report Summary for all funding models lists all of the parameters that were used in calculating the report as well as the summary of your reserve analysis study.

### **Index Reports**

The **Distribution of Accumulated Reserves** report lists all assets in remaining life order. It also identifies the ideal level of reserves that should have accumulated for the association as well as the actual reserves available. This information is valid only for the “Component Funding Model” calculation.

The **Component Listing/Summary** lists all assets by category (i.e. roofing, painting, lighting, etc.) together with their remaining life, current cost, monthly reserve contribution, and net monthly allocation.

### **Detail Reports**

The Detail Report itemizes each asset and lists all measurements, current and future costs, and calculations for that asset. Provisions for percentage replacements, salvage values, and one-time replacements can also be utilized. These reports can be sorted by category or group.

The numerical listings for each asset are enhanced by extensive narrative detailing factors such as design, manufactured quality, usage, exposure to elements and maintenance history.

The Detail Index is an alphabetical listing of all assets, together with the page number of the asset's detail report, the projected replacement year, and the asset number.

### **Projections**

Thirty-year projections add to the usefulness of your reserve analysis study. This study also tak

### **Definitions**

#### **Report I.D.**

Includes the Report Date (example: November 15, 1992), Account Number (example: 9773), and Version (example: 1.0). Please use this information (displayed on the summary page) when referencing your report.

#### **Budget Year Beginning/Ending**

The budgetary year for which the report is prepared. For associations with fiscal years ending December 31<sup>st</sup>, the monthly contribution figures indicated are for the 12-month period beginning 1/1/20xx and ending 12/31/20xx.

#### **Number of Units and/or Phases**

If applicable, the number of units and/or phases included in this version of the report.

#### **Inflation**

This figure is used to approximate the future cost to repair or replace each component in the report. The current cost for each component is compounded on an annual basis by the number of remaining years to replacement, and the total is used in calculating the monthly reserve contribution that will be necessary to accumulate the required funds in time for replacement.

#### **Annual Assessment Increase**

This represents the percentage rate at which the association will increase its assessment to reserves at the end of each year. For example, in order to accumulate \$10,000 in 10 years, you could set aside \$1,000 per year. As an alternative, you could set aside \$795 the first year and increase that amount by 5% each year until the year of replacement. In either case you arrive at the same amount. The idea is that you start setting aside a lower amount and increase that number each year in accordance with the planned percentage. Ideally this figure should be equal to the rate of inflation. It can, however, be used to aide those associations that have not set aside appropriate reserves in the past, by making the initial year's allocation less formidable.

**Investment Yield Before Taxes**

The average interest rate anticipated by the association based upon its current investment practices.

**Taxes on Interest Yield**

The estimated percentage of interest income that will be set aside to pay income taxes on the interest earned.

**Projected Reserve Balance**

The anticipated reserve balance on the first day of the fiscal year for which this report has been prepared. This is based upon information provided and not audited.

**Percent Fully Funded**

The ratio, at the beginning of the fiscal year, of the actual (or projected) reserve balance to the calculated fully funded balance, expressed as a percentage.

**Phase Increment Detail and/or Age**

Comments regarding aging of the components on the basis of construction date or date of acceptance by the association.

**Monthly Assessment**

The assessment to reserves required by the association each month.

**Interest Contribution (After Taxes)**

The interest that should be earned on the reserves, net of taxes, based upon their beginning reserve balance and monthly contributions for one year. This figure is averaged for budgeting purposes.

**Total Monthly Allocation**

The sum of the monthly assessment and interest contribution figures.

**Group and Category**

The report may be prepared and sorted either by group (location, building, phase, etc.) or by category (roofing, painting, etc.). The standard report printing format is by category.

**Percentage of Replacement or Repairs**

In some cases, an asset may not be replaced in its entirety or the cost may be shared with a second party. Examples are budgeting for a percentage of replacement of streets over a period of time or sharing the expense to replace a common wall with a neighboring party.

**Placed-In-Service Date**

The month and year that the asset was placed-in-service. This may be the construction date, the first escrow closure date in a given phase, or the date of the last servicing or replacement.

**Estimated Useful Life**

The estimated useful life of an asset based upon industry standards, manufacturer specifications, visual inspection, location, usage, association standards and prior history. All of these factors are taken into consideration when tailoring the estimated useful life to the particular asset. For example, the carpeting in a hallway or elevator (a heavy traffic area) will not have the same life as the identical carpeting in a seldom-used meeting room or office.

**Adjustment to Useful Life**

Once the useful life is determined, it may be adjusted, up or down, by this separate figure for the current cycle of replacement. This will allow for a current period adjustment without affecting the estimated replacement cycles for future replacements.

**Estimated Remaining Life**

This calculation is completed internally based upon the report's fiscal year date and the date the asset was placed-in-service.

**Replacement Year**

The year that the asset is scheduled to be replaced. The appropriate funds will be available by the first day of the fiscal year for which replacement is anticipated.

**Annual Fixed Reserves**

An optional figure which, if used, will override the normal process of allocating reserves to each asset.

**Fixed Assessment**

An optional figure which, if used, will override all calculations and set the assessment at this amount. This assessment can be set for monthly, quarterly or annually as necessary.

**Salvage Value**

The salvage value of the asset at the time of replacement, if applicable.

**One-Time Replacement**

Notation if the asset is to be replaced on a one-time basis.

**Current Replacement Cost**

The estimated replacement cost effective at the beginning of the fiscal year for which the report is being prepared

**Future Replacement Cost**

The estimated cost to repair or replace the asset at the end of its estimated useful life based upon the current replacement cost and inflation.

**Component Inventory**

The task of selecting and qualifying reserve components. This task can be accomplished through on-site visual, review of association design and organizational documents, a review of established association precedents, and discussion with appropriate association representative(s).

# A Multi-Purpose Tool

Your Report is an important part of your association's budgetary process. Following its recommendations should ensure the association's smooth budgetary transitions from one fiscal year to the next, and either decrease or eliminate the need for "special assessments".

In addition, your reserve study serves a variety of useful purposes:

- Following the recommendations of a reserve study performed by a professional consultant can protect the Board of Directors in a community from personal liability concerning reserve components and reserve funding.
- A reserve analysis study is required by your accountant during the preparation of the association's annual audit.
- The reserve study is often requested by lending institutions during the process of loan applications, both for the community and, in many cases, the individual owners.
- Your Report is also a detailed inventory of the association's major assets and serves as a management tool for scheduling, coordinating, and planning future repairs and replacements.
- Your Report is a tool that can assist the Board in fulfilling its legal and fiduciary obligations for maintaining the community in a state of good repair. If a community is operating on a special assessment basis, it cannot guarantee that an assessment, when needed, will be passed. Therefore, it cannot guarantee its ability to perform the required repairs or replacements to those major components for which the association is obligated.
- Since the reserve analysis study includes measurements and cost estimates of the client's assets, the detail reports may be used to evaluate the accuracy and price of contractor bids when assets are due to be repaired or replaced.
- The reserve study is an annual disclosure to the membership concerning the financial condition of the association and may be used as a "consumers' guide" by prospective purchasers.
- Your Report provides a record of the time, cost, and quantities of past reserve replacements. At times the association's management company and board of directors are transitory which may result in the loss of these important records.

# Assumptions & Limiting Conditions

This reserve study report has been made with the following general assumptions and limiting conditions:

1. Client represents and warrants that the information provided to Millman & Associates, Inc. hereinafter collectively "MA", including but not limited to that information contained in the attached Reserve Studies Information Summary and the maintenance records, is complete and accurate, and "MA" may rely upon such information and documents without further verification or corroboration.
2. Where the age of a particular Reserve Item (as listed in the Reserve Study) is unknown, Client shall provide to "MA", Client's best-estimated age of that item. If Client is unable to provide an estimate of a Reserve Item's age, "MA" shall make its own estimate of age of the Reserve Item.
3. The estimates of the most probable reserve component replacement costs and remaining useful life as described in the Detail Report by Category and accompanying narratives. Accordingly, the funding options reflect the consultants judgments' based on circumstances at the time of inspection of the most likely costs, conditions and remaining lives and as well as upon industry or governmental sources, other general construction related resources (e.g. Marshall Swift, Means and/or Dodge estimation), actual costs or observed life expectancy, upon "MA"'s proprietary methodology, and/or upon any combination thereof. The selection of the basis for such estimates shall be made exclusively by "MA" unless otherwise specifically agreed in the Reserve Study Analysis Agreement. Because the compilation of the reserve funding options and related projections is limited as described herein, no conclusion or any other form of assurance on the funding options or projections are provided. No responsibility to update this report for events and circumstances occurring after the date of this report is assumed.
4. Client has made available to "MA" all portions of the premises as may be required to be included in the reserve study and has disclosed any components, structures and/or areas that are not readily observable or may have been inadvertently omitted from the reserve study, including the interior areas of any building or residence within ten (10) business days from receipt of the study to permit "MA" to update the reserve study to include all pertinent components.
5. Responsible and competent property management and maintenance are assumed, unless reported within the reserve study report.
6. The information furnished by others is believed to be reliable; however, no warranty is given to its accuracy.
7. All engineering and plans provided "MA" is believed to be correct. Any floor plans, plot plans, surveys and illustrative material in this report are included to assist the reader in visualizing the property.
8. S. It is assumed that there are no hidden or unapparent conditions of the equipment, structures, property or subsoil that render it more or less valuable. No responsibility is assumed for such conditions or for arranging for engineering studies that may be required to discover them.
9. It is assumed that there is full compliance with all applicable federal, state and local environmental regulations and laws unless noncompliance is stated, defined and considered in the reserve study.
10. The Reserve Study provided is only for the use of the Client and may not be reproduced, published or relied upon by any other person or entity without the prior written consent of "MA" and in any event only with the proper written qualification and only in its entirety.
11. "MA" and its staff and consultants herein by reason of this reserve study are not required to attend board meetings, give testimony, or be in attendance in court with reference to the property in question unless arrangements have been previously made.
12. Neither all nor any of the contents of this Reserve Study (especially any conclusions as to life expectancy, values, the identity of "MA" or its staff) shall be disseminated to the public through advertising, public relations, news, sales, or other media without the prior written consent and approval of "MA".
13. "MA" nor its staff are qualified to detect hazardous waste and/or toxic materials. Any comment within the reserve study that might suggest the possibility of the presence of such substances should not be taken as confirmation of the presence of hazardous waste and/or toxic materials. Such determination would require investigation by a qualified expert in the field of environmental assessment. The presence of substances such as asbestos, urea-formaldehyde foam insulation or other potentially hazardous materials may affect the value of the components, and property which is the subject of this report. The life expectancy of the components, their value estimate is predicated on the assumption that there is no such material on or in the property that would cause a loss in value unless otherwise stated in this report. No responsibility is assumed for any environmental conditions, or for any expertise or engineering knowledge required to discover them. The descriptions and



resulting comments are the result of the routine observations made during the reserve study process.

14. Unless otherwise stated in this report, the subject property's analysis is without a specific compliance survey having been conducted to determine if the property is or is not in conformance with the requirements of the Americans with Disabilities Act. The presence of architectural and communications barriers that are structural in nature that would restrict access by disabled individuals may adversely affect the property's value, marketability, or utility.
15. Any and all disputes or claims of any nature (including third party beneficiary claims) which may arise from or as the result of the Reserve Study Analysis Agreement or this Reserve Study report shall be resolved exclusively by a private arbitration conducted in Miami-Dade County, Florida, pursuant to the State of Florida Arbitration Rules utilized in the Court Annexed Arbitration Program; provided, however, the liability of "MA" shall in no event exceed the amount of the professional service fee paid, the arbitration shall be final and binding upon the parties and any persons or entities they represent, there shall be no right to a trial de novo, and neither party shall have any other rights or remedies.

**St Tropez at Boca Golf Property**  
Boca Raton, Florida  
**M.A. Current Funding Model Summary**

|                       |  |                   |
|-----------------------|--|-------------------|
| Report Date           |  | October 27, 2022  |
| Account Number        |  | RS 22-016         |
| Version               |  | Draft 2.0         |
| Budget Year Beginning |  | January 1, 2023   |
| Budget Year Ending    |  | December 31, 2023 |
| Total Units           |  | 117               |
| Phase Development     |  | 1 of 1            |

|                                    |           |
|------------------------------------|-----------|
| <b>Report Parameters</b>           |           |
| Inflation                          | 3.00%     |
| Annual Assessment Increase         | 5.00%     |
| Interest Rate on Reserve Deposit   | 0.21%     |
| Tax Rate Included in Interest Rate |           |
| Contingency                        | 3.00%     |
| 2023 Beginning Balance             | \$631,445 |

This is the current assessment funding model which does not provide for adequate reserves based on the projected cost to replace roofs using the square footage from the Prestar insurance report. See the Pooled method of reserves for the recommended monthly reserves for 2013.

### Current Assessment Funding Model Summary of Calculations

|                                      |                 |
|--------------------------------------|-----------------|
| Required Monthly Contribution        | \$5,706.00      |
| <i>\$48.77 per unit monthly</i>      |                 |
| Average Net Monthly Interest Earned  | <u>\$117.10</u> |
| Total Monthly Allocation to Reserves | \$5,823.10      |
| <i>\$49.77 per unit monthly</i>      |                 |

**St Tropez at Boca Golf Property**  
**M.A. Unit Assessment Distribution - Current Assessment Funding Model**

|                       |                  |                          |
|-----------------------|------------------|--------------------------|
| Report Date           | October 27, 2022 |                          |
| Beginning Fiscal Year | January 01, 2023 |                          |
| Account Number        | RS 22-016        | Version Number Draft 2.0 |

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| Description    | Unit<br>Count | Total<br>Percent<br>Assessment | Unit<br>Percentage | Total Unit<br>Dollars | Unit<br>Allocation |
|----------------|---------------|--------------------------------|--------------------|-----------------------|--------------------|
|                | 117           | 100.00%                        | 0.85%              | \$5,705.99            | \$48.77            |
| <b>Totals:</b> | 117           | 100.00%                        |                    | \$5,706.00            |                    |

**St Tropez at Boca Golf Property**  
**M.A. Current Funding Model Projection**

Beginning Balance: \$631,445

| Year | Current<br>Cost | Annual<br>Contribution | Annual<br>Interest | Annual<br>Expenditures | Projected<br>Ending<br>Reserves | Fully<br>Funded<br>Reserves | Percent<br>Funded |
|------|-----------------|------------------------|--------------------|------------------------|---------------------------------|-----------------------------|-------------------|
| 2023 | 2,691,200       | 68,472                 | 1,405              |                        | 701,322                         | 2,271,162                   | 31%               |
| 2024 | 2,771,936       | 71,896                 | 1,556              |                        | 774,774                         | 2,443,314                   | 32%               |
| 2025 | 2,855,094       | 75,490                 | 1,715              |                        | 851,978                         | 2,616,181                   | 33%               |
| 2026 | 2,940,747       | 79,265                 | 1,801              | 38,245                 | 894,799                         | 2,750,566                   | 33%               |
| 2027 | 3,028,969       | 83,228                 | 1,675              | 142,827                | 836,875                         | 2,761,740                   | 30%               |
| 2028 | 2,972,727       | 87,390                 | 1,810              | 23,185                 | 902,889                         | 2,895,562                   | 31%               |
| 2029 | 3,061,908       | 91,759                 | 2,002              |                        | 996,650                         | 3,051,394                   | 33%               |
| 2030 | 3,153,766       | 96,347                 | 2,205              |                        | 1,095,202                       | 3,204,433                   | 34%               |
| 2031 | 3,248,379       | 101,164                |                    | 2,825,531              | -1,629,164                      | 498,027                     |                   |
| 2032 | 3,345,830       | 106,223                |                    | 13,048                 | -1,535,990                      | 696,479                     |                   |
| 2033 | 3,446,205       | 111,534                |                    | 13,439                 | -1,437,895                      | 902,593                     |                   |
| 2034 | 3,549,591       | 117,110                |                    |                        | -1,320,785                      | 1,130,162                   |                   |
| 2035 | 3,656,079       | 122,966                |                    |                        | -1,197,819                      | 1,365,200                   |                   |
| 2036 | 3,765,761       | 129,114                |                    | 22,028                 | -1,090,733                      | 1,585,291                   |                   |
| 2037 | 3,878,734       | 135,570                |                    | 191,948                | -1,147,110                      | 1,627,362                   |                   |
| 2038 | 3,797,390       | 142,348                |                    | 46,739                 | -1,051,501                      | 1,827,389                   |                   |
| 2039 | 3,911,311       | 149,466                |                    |                        | -902,035                        | 2,082,768                   |                   |
| 2040 | 4,028,651       | 156,939                |                    |                        | -745,096                        | 2,345,069                   |                   |
| 2041 | 4,149,510       | 164,786                |                    |                        | -580,310                        | 2,613,943                   |                   |
| 2042 | 4,273,996       | 173,025                |                    |                        | -407,285                        | 2,888,976                   |                   |
| 2043 | 4,402,216       | 181,677                |                    |                        | -225,608                        | 3,169,679                   |                   |
| 2044 | 4,534,282       | 190,760                |                    | 18,603                 | -53,451                         | 3,436,810                   |                   |
| 2045 | 4,670,310       | 200,298                | 116                |                        | 146,963                         | 3,727,646                   | 4%                |
| 2046 | 4,810,420       | 210,313                | 548                |                        | 357,825                         | 4,022,285                   | 9%                |
| 2047 | 4,954,732       | 220,829                | 461                | 257,962                | 321,154                         | 4,044,976                   | 8%                |
| 2048 | 4,837,674       | 231,870                | 807                | 62,813                 | 491,018                         | 4,272,645                   | 11%               |
| 2049 | 4,982,804       | 243,464                | 1,309              |                        | 735,791                         | 4,566,815                   | 16%               |
| 2050 | 5,132,288       | 255,637                | 1,791              | 22,213                 | 971,006                         | 4,839,407                   | 20%               |
| 2051 | 5,286,257       | 268,419                | 2,347              |                        | 1,241,772                       | 5,134,499                   | 24%               |
| 2052 | 5,444,845       | 281,840                | 2,931              |                        | 1,526,543                       | 5,427,859                   | 28%               |

**St Tropez at Boca Golf Property**  
 Boca Raton, Florida  
**M.A. Pooled Assessment Funding Model Summary**

| <i>Report Parameters</i>           |                   |
|------------------------------------|-------------------|
| Report Date                        | October 27, 2022  |
| Account Number                     | RS 22-016         |
| Version                            | Draft 2.0         |
| Budget Year Beginning              | January 1, 2023   |
| Budget Year Ending                 | December 31, 2023 |
| Total Units                        | 117               |
| Phase Development                  | 1 of 1            |
| Inflation                          | 3.00%             |
| Annual Assessment Increase         | 3.00%             |
| Interest Rate on Reserve Deposit   | 0.21%             |
| Tax Rate Included in Interest Rate |                   |
| Contingency                        | 2.00%             |
| 2023 Beginning Balance             | \$631,445         |

This is the Pooled assessment funding model reflecting a substantial increase based on the projected cost to replace roofs using the sf from the Prestar insurance report. See spreadsheet Previously Provided to Richard Nazario, LCAM

| <i>Pooled Funding Model Summary of Calculations</i> |                 |
|-----------------------------------------------------|-----------------|
| Required Monthly Contribution                       | \$19,622.94     |
| <i>\$167.72 per unit monthly</i>                    |                 |
| Average Net Monthly Interest Earned                 | <u>\$132.94</u> |
| Total Monthly Allocation to Reserves                | \$19,755.89     |
| <i>\$168.85 per unit monthly</i>                    |                 |

**St Tropez at Boca Golf Property**  
**M.A. Unit Assessment Distribution - Pooled Assessment Funding Model**

|                       |                  |                          |
|-----------------------|------------------|--------------------------|
| Report Date           | October 27, 2022 |                          |
| Beginning Fiscal Year | January 01, 2023 |                          |
| Account Number        | RS 22-016        | Version Number Draft 2.0 |

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| Description    | Unit<br>Count | Total<br>Percent<br>Assessment | Unit<br>Percentage | Total Unit<br>Dollars | Unit<br>Allocation |
|----------------|---------------|--------------------------------|--------------------|-----------------------|--------------------|
|                | 117           | 100.00%                        | 0.85%              | \$19,622.92           | \$167.72           |
| <b>Totals:</b> | 117           | 100.00%                        |                    | \$19,622.94           |                    |

**St Tropez at Boca Golf Property**  
**M.A. Pooled Funding Model Projection**

Beginning Balance: \$631,445

| Year | Current<br>Cost | Annual<br>Contribution | Annual<br>Interest | Annual<br>Expenditures | Projected<br>Ending<br>Reserves | Fully<br>Funded<br>Reserves | Percent<br>Funded |
|------|-----------------|------------------------|--------------------|------------------------|---------------------------------|-----------------------------|-------------------|
| 2023 | 2,691,200       | 235,475                | 1,595              |                        | 868,515                         | 2,249,112                   | 39%               |
| 2024 | 2,771,936       | 242,540                | 2,102              |                        | 1,113,157                       | 2,419,593                   | 46%               |
| 2025 | 2,855,094       | 249,816                | 2,624              |                        | 1,365,597                       | 2,590,781                   | 53%               |
| 2026 | 2,940,747       | 257,310                | 3,083              | 38,245                 | 1,587,744                       | 2,723,861                   | 58%               |
| 2027 | 3,028,969       | 265,030                | 3,339              | 142,827                | 1,713,286                       | 2,734,927                   | 63%               |
| 2028 | 2,972,727       | 272,980                | 3,863              | 23,185                 | 1,966,944                       | 2,867,450                   | 69%               |
| 2029 | 3,061,908       | 281,170                | 4,455              |                        | 2,252,568                       | 3,021,769                   | 75%               |
| 2030 | 3,153,766       | 289,605                | 5,065              |                        | 2,547,238                       | 3,173,322                   | 80%               |
| 2031 | 3,248,379       | 298,293                |                    | 2,825,531              | 20,000                          | 493,192                     | 4%                |
| 2032 | 3,345,830       | 178,535                | 218                | 13,048                 | 185,706                         | 689,717                     | 27%               |
| 2033 | 3,446,205       | 183,891                | 571                | 13,439                 | 356,729                         | 893,830                     | 40%               |
| 2034 | 3,549,591       | 189,408                | 965                |                        | 547,103                         | 1,119,190                   | 49%               |
| 2035 | 3,656,079       | 195,090                | 1,372              |                        | 743,565                         | 1,351,946                   | 55%               |
| 2036 | 3,765,761       | 200,943                | 1,745              | 22,028                 | 924,225                         | 1,569,899                   | 59%               |
| 2037 | 3,878,734       | 206,971                | 1,775              | 191,948                | 941,024                         | 1,611,562                   | 58%               |
| 2038 | 3,797,390       | 213,180                | 2,122              | 46,739                 | 1,109,588                       | 1,809,648                   | 61%               |
| 2039 | 3,911,311       | 219,576                | 2,582              |                        | 1,331,746                       | 2,062,547                   | 65%               |
| 2040 | 4,028,651       | 226,163                | 3,057              |                        | 1,560,966                       | 2,322,301                   | 67%               |
| 2041 | 4,149,510       | 232,948                | 3,546              |                        | 1,797,460                       | 2,588,565                   | 69%               |
| 2042 | 4,273,996       | 239,936                | 4,051              |                        | 2,041,448                       | 2,860,928                   | 71%               |
| 2043 | 4,402,216       | 247,135                | 4,572              |                        | 2,293,155                       | 3,138,906                   | 73%               |
| 2044 | 4,534,282       | 254,549                | 5,071              | 18,603                 | 2,534,171                       | 3,403,442                   | 74%               |
| 2045 | 4,670,310       | 262,185                | 5,625              |                        | 2,801,981                       | 3,691,455                   | 76%               |
| 2046 | 4,810,420       | 270,051                | 6,197              |                        | 3,078,229                       | 3,983,233                   | 77%               |
| 2047 | 4,954,732       | 278,152                | 6,245              | 257,962                | 3,104,665                       | 4,005,705                   | 78%               |
| 2048 | 4,837,674       | 286,497                | 6,720              | 62,813                 | 3,335,068                       | 4,231,163                   | 79%               |
| 2049 | 4,982,804       | 295,092                | 7,346              |                        | 3,637,506                       | 4,522,477                   | 80%               |
| 2050 | 5,132,288       | 303,944                | 7,945              | 22,213                 | 3,927,183                       | 4,792,422                   | 82%               |
| 2051 | 5,286,257       | 313,063                | 8,611              |                        | 4,248,856                       | 5,084,649                   | 84%               |
| 2052 | 5,444,845       | 322,454                | 9,298              |                        | 4,580,609                       | 5,375,162                   | 85%               |

# St Tropez at Boca Golf Property

Boca Raton, Florida

## M.A. Component Summary

| Description                    | Future<br>Cost     | Useful<br>Life | Remaining<br>Life | Adjustment | Distribution    | Required<br>Contribution | Ideally<br>Funded  |
|--------------------------------|--------------------|----------------|-------------------|------------|-----------------|--------------------------|--------------------|
| <b>Streets/Asphalt</b>         |                    |                |                   |            |                 |                          |                    |
| Asphalt Road-Seal Coating      | <u>10,927</u>      | 6              | 3                 |            | <u>5,000</u>    | <u>139.75</u>            | <u>5,000</u>       |
| Streets/Asphalt - Total        | <u>\$10,927</u>    |                |                   |            | <u>\$5,000</u>  | <u>\$140</u>             | <u>\$5,000</u>     |
| <b>Roofing</b>                 |                    |                |                   |            |                 |                          |                    |
| Roofing-S Cement Tile          | <u>2,793,861</u>   | 25             | 8                 |            | 0               | <u>23,236.26</u>         | <u>1,499,740</u>   |
| Roofing - Total                | <u>\$2,793,861</u> |                |                   |            |                 | <u>\$23,236</u>          | <u>\$1,499,740</u> |
| <b>Painting</b>                |                    |                |                   |            |                 |                          |                    |
| Painting-Exterior              | 142,827            | 10             | 4                 |            | 32,188          | 1,932.44                 | 76,140             |
| Painting-Exterior              | 191,948            | 10             | 14                | 10         | 0               | 846.10                   | 38,070             |
| Painting-Exterior              | <u>257,962</u>     | 10             | 24                | 20         | <u>0</u>        | <u>589.81</u>            | <u>25,380</u>      |
| Painting - Total               | <u>\$592,736</u>   |                |                   |            | <u>\$32,188</u> | <u>\$3,368</u>           | <u>\$139,590</u>   |
| <b>Fencing/Security</b>        |                    |                |                   |            |                 |                          |                    |
| Metal Fencing/Security Lights  | <u>27,318</u>      | 30             | 3                 | 4          | <u>22,794</u>   | <u>91.03</u>             | <u>22,794</u>      |
| Fencing/Security - Total       | <u>\$27,318</u>    |                |                   |            | <u>\$22,794</u> | <u>\$91</u>              | <u>\$22,794</u>    |
| <b>Recreation/Pool</b>         |                    |                |                   |            |                 |                          |                    |
| Swimming Pool Refinish         | <u>13,439</u>      | 15             | 10                | 2          | 0               | <u>87.10</u>             | <u>4,118</u>       |
| Recreation/Pool - Total        | <u>\$13,439</u>    |                |                   |            |                 | <u>\$87</u>              | <u>\$4,118</u>     |
| <b>Gutters and Downspouts</b>  |                    |                |                   |            |                 |                          |                    |
| Gutters/Downspouts             | <u>23,185</u>      | 10             | 5                 |            | 0               | <u>322.97</u>            | <u>10,000</u>      |
| Gutters and Downspouts - Total | <u>\$23,185</u>    |                |                   |            |                 | <u>\$323</u>             | <u>\$10,000</u>    |
| <b>Mailboxes</b>               |                    |                |                   |            |                 |                          |                    |
| Mailboxes                      | <u>31,669</u>      | 40             | 8                 | 5          | 0               | <u>263.39</u>            | <u>20,556</u>      |
| Mailboxes - Total              | <u>\$31,669</u>    |                |                   |            |                 | <u>\$263</u>             | <u>\$20,556</u>    |
| <b>Pavers</b>                  |                    |                |                   |            |                 |                          |                    |
| Pool Pavers                    | <u>22,028</u>      | 20             | 13                |            | 0               | <u>105.83</u>            | <u>5,250</u>       |
| Pavers - Total                 | <u>\$22,028</u>    |                |                   |            |                 | <u>\$106</u>             | <u>\$5,250</u>     |
| Asset Summary Total:           | <u>\$3,515,165</u> |                |                   |            | <u>\$59,983</u> | <u>\$27,615</u>          | <u>\$1,707,047</u> |
| Contingency at 3.00%           |                    |                |                   |            | <u>\$1,799</u>  | <u>\$828</u>             | <u>\$51,211</u>    |
| Grand Total:                   |                    |                |                   |            | <u>\$61,782</u> | <u>\$28,443</u>          | <u>\$1,758,259</u> |

|                                                       |           |
|-------------------------------------------------------|-----------|
| Percent Fully Funded                                  | 4%        |
| Current Average Liability per Unit (Total Units: 117) | -\$14,500 |



**St Tropez at Boca Golf Property**  
**M.A. Annual Expenditure Detail**

| Description                   | Expenditures       |
|-------------------------------|--------------------|
| <i>No Replacement in 2023</i> |                    |
| <i>No Replacement in 2024</i> |                    |
| <i>No Replacement in 2025</i> |                    |
| <b>Replacement Year 2026</b>  |                    |
| Asphalt Road-Seal Coating     | 10,927             |
| Metal Fencing/Security Lights | 27,318             |
| <b>Total for 2026</b>         | <b>\$38,245</b>    |
| <b>Replacement Year 2027</b>  |                    |
| Painting-Exterior             | 142,827            |
| <b>Total for 2027</b>         | <b>\$142,827</b>   |
| <b>Replacement Year 2028</b>  |                    |
| Gutters/Downspouts            | 23,185             |
| <b>Total for 2028</b>         | <b>\$23,185</b>    |
| <i>No Replacement in 2029</i> |                    |
| <i>No Replacement in 2030</i> |                    |
| <b>Replacement Year 2031</b>  |                    |
| Mailboxes                     | 31,669             |
| Roofing-S Cement Tile         | 2,793,861          |
| <b>Total for 2031</b>         | <b>\$2,825,531</b> |
| <b>Replacement Year 2032</b>  |                    |
| Asphalt Road-Seal Coating     | 13,048             |
| <b>Total for 2032</b>         | <b>\$13,048</b>    |
| <b>Replacement Year 2033</b>  |                    |
| Swimming Pool Refinish        | 13,439             |
| <b>Total for 2033</b>         | <b>\$13,439</b>    |
| <i>No Replacement in 2034</i> |                    |
| <i>No Replacement in 2035</i> |                    |
| <b>Replacement Year 2036</b>  |                    |
| Pool Pavers                   | 22,028             |
| <b>Total for 2036</b>         | <b>\$22,028</b>    |

**St Tropez at Boca Golf Property  
M.A. Annual Expenditure Detail**

| Description                   | Expenditures     |
|-------------------------------|------------------|
| <b>Replacement Year 2037</b>  |                  |
| Painting-Exterior             | 191,948          |
| <b>Total for 2037</b>         | <b>\$191,948</b> |
| <b>Replacement Year 2038</b>  |                  |
| Asphalt Road-Seal Coating     | 15,580           |
| Gutters/Downspouts            | 31,159           |
| <b>Total for 2038</b>         | <b>\$46,739</b>  |
| <i>No Replacement in 2039</i> |                  |
| <i>No Replacement in 2040</i> |                  |
| <i>No Replacement in 2041</i> |                  |
| <i>No Replacement in 2042</i> |                  |
| <i>No Replacement in 2043</i> |                  |
| <b>Replacement Year 2044</b>  |                  |
| Asphalt Road-Seal Coating     | 18,603           |
| <b>Total for 2044</b>         | <b>\$18,603</b>  |
| <i>No Replacement in 2045</i> |                  |
| <i>No Replacement in 2046</i> |                  |
| <b>Replacement Year 2047</b>  |                  |
| Painting-Exterior             | 257,962          |
| <b>Total for 2047</b>         | <b>\$257,962</b> |
| <b>Replacement Year 2048</b>  |                  |
| Gutters/Downspouts            | 41,876           |
| Swimming Pool Refinish        | 20,938           |
| <b>Total for 2048</b>         | <b>\$62,813</b>  |
| <i>No Replacement in 2049</i> |                  |
| <b>Replacement Year 2050</b>  |                  |
| Asphalt Road-Seal Coating     | 22,213           |
| <b>Total for 2050</b>         | <b>\$22,213</b>  |
| <i>No Replacement in 2051</i> |                  |

**St Tropez at Boca Golf Property**  
**M.A. Detail Report by Category**

**Asphalt Road-Seal Coating - 2026**

|                     |                 |                     |               |
|---------------------|-----------------|---------------------|---------------|
| Asset ID            | 1007            | 1 Total             | @ \$10,000.00 |
| Exterior Components | Streets/Asphalt | Asset Actual Cost   | \$10,000.00   |
| Placed in Service   | January 2020    | Percent Replacement | 100%          |
| Useful Life         | 6               | Future Cost         | \$10,927.27   |
| Replacement Year    | 2026            |                     |               |
| Remaining Life      | 3               |                     |               |



**Salvage Value:** \$0.00

**Condition:** Average

**Service Contract:** N/A

**Remarks:** Financial Statement reflect the estimated remaining life as 4 years, which indicates recoating of all the asphalt roads was done in 2020, and the estimated current cost is \$10,000. Based on the foregoing, and utilizing a useful life of 6 years, 2026 is the projected year the asphalt roads will be recoated.

**St Tropez at Boca Golf Property**  
**M.A. Detail Report by Category**

|                                             |                 |
|---------------------------------------------|-----------------|
| <b>Streets/Asphalt - Total Current Cost</b> | <b>\$10,000</b> |
|---------------------------------------------|-----------------|

**St Tropez at Boca Golf Property**  
**M.A. Detail Report by Category**

**Roofing-S Cement Tile - 2031**

|                     |           |                     |                |
|---------------------|-----------|---------------------|----------------|
| Asset ID            | 1004      | 2,005 Squares       | @ \$1,100.00   |
| Exterior Components |           | Asset Actual Cost   | \$2,205,500.00 |
| Roofing             |           | Percent Replacement | 100%           |
| Placed in Service   | June 2006 | Future Cost         | \$2,793,861.41 |
| Useful Life         | 25        |                     |                |
| Replacement Year    | 2031      |                     |                |
| Remaining Life      | 8         |                     |                |



**Salvage Value:** \$0.00

**Condition:** Average

**Service Contract:** Total Home Roofing

**Remarks:** Roof covering is an S shaped multi color concrete tile. The Prostar February 2021 insurance valuation report reflects the roofs were resurfaced in 2006. This would indicated the current age of the roof is approximately 17 years old.. Many insurance carriers are requiring new roofs once they are 25 years old. **IT IS SUGGESTED THAT THIS REQUIREMENT BE REVIEWED WITH THE CURRENT INSURANCE CARRIER.** Based on the foregoing the projected replacement year is 2031. Marshal Valuation Services, and conversations with licensed roofers reflect the cost per square (100 SF) ranges from \$1,100 to \$2,000. For the purpose of this study \$2,205,500 was utilized since the report includes yearly increases for inflation, reserves and a contingency factor. Due to current inflation of roofing materials and that 7 buildings are 2 story, the amount of \$1,100 is at the lower range since this amount does not reflect any hidden damaged wood decking, trusses or fascia boards. Prestar Insurance Vaaluation reflects cost to replace at \$1,226,014 or \$612/SQ, which base on my analysis is very low and I suggest obtaining bis fro at least 3 other roofing contractors.

**St Tropez at Boca Golf Property  
M.A. Detail Report by Category**

|                                     |                    |
|-------------------------------------|--------------------|
| <b>Roofing - Total Current Cost</b> | <b>\$2,205,500</b> |
|-------------------------------------|--------------------|

**St Tropez at Boca Golf Property**  
**M.A. Detail Report by Category**

**Painting-Exterior - 2027**

|                     |           |                     |                |
|---------------------|-----------|---------------------|----------------|
| Asset ID            | 1002      | 1 Total             | @ \$126,900.00 |
| Exterior Components |           | Asset Actual Cost   | \$126,900.00   |
| Painting            |           | Percent Replacement | 100%           |
| Placed in Service   | June 2017 | Future Cost         | \$142,827.07   |
| Useful Life         | 10        |                     |                |
| Replacement Year    | 2027      |                     |                |
| Remaining Life      | 4         |                     |                |



**Salvage Value:** \$0.00  
**Condition:** Average to Good  
**Service Contract:** N/A

**Remarks:** Painting was reported to have been done in 2017 by PD Painting for \$109,450. The current amount is based on multiplying the \$109,450 by 1.03% for the last 5 years. The Financial Statement reflect the estimated remaining life as 6 years or repainting every 10 years which includes painting of all the units, pool building and replacing the gutters. Based on the foregoing, and utilizing a useful life of 10 years, and based on the 2022 financial statement it is projected the buildings will be repainted and gutters replaced in 2027.



**St Tropez at Boca Golf Property**  
**M.A. Detail Report by Category**

**Painting-Exterior - 2037**

|                     |           |                     |                |
|---------------------|-----------|---------------------|----------------|
| Asset ID            | 1002      | 1 Total             | @ \$126,900.00 |
| Exterior Components |           | Asset Actual Cost   | \$126,900.00   |
| Painting            |           | Percent Replacement | 100%           |
| Placed in Service   | June 2017 | Future Cost         | \$191,947.64   |
| Useful Life         | 10        |                     |                |
| Adjustment          | 10        |                     |                |
| Replacement Year    | 2037      |                     |                |
| Remaining Life      | 14        |                     |                |



**Salvage Value:** \$0.00  
**Condition:** Average to Good  
**Service Contract:** N/A

**Remarks:** Painting was reported to have been done in 2017 by PD Painting for \$109,450. The current amount is based on multiplying the \$109,450 by 1.03% for the last 5 years. The Financial Statement reflect the estimated remaining life as 6 years or repainting every 10 years which includes painting of all the units, pool building and replacing the gutters. Based on the foregoing, and utilizing a useful life of 10 years, and based on the 2022 financial statement it is projected the buildings will be repainted and gutters replaced in 2027.



**St Tropez at Boca Golf Property**  
**M.A. Detail Report by Category**

**Painting-Exterior - 2047**

|                     |           |                     |                |
|---------------------|-----------|---------------------|----------------|
| Asset ID            | 1002      | 1 Total             | @ \$126,900.00 |
| Exterior Components |           | Asset Actual Cost   | \$126,900.00   |
| Painting            |           | Percent Replacement | 100%           |
| Placed in Service   | June 2017 | Future Cost         | \$257,961.57   |
| Useful Life         | 10        |                     |                |
| Adjustment          | 20        |                     |                |
| Replacement Year    | 2047      |                     |                |
| Remaining Life      | 24        |                     |                |



**Salvage Value:** \$0.00  
**Condition:** Average to Good  
**Service Contract:** N/A

**Remarks:** Painting was reported to have been done in 2017 by PD Painting for \$109,450. The current amount is based on multiplying the \$109,450 by 1.03% for the last 5 years. The Financial Statement reflect the estimated remaining life as 6 years or repainting every 10 years which includes painting of all the units, pool building and replacing the gutters. Based on the foregoing, and utilizing a useful life of 10 years, and based on the 2022 financial statement it is projected the buildings will be repainted and gutters replaced in 2027.

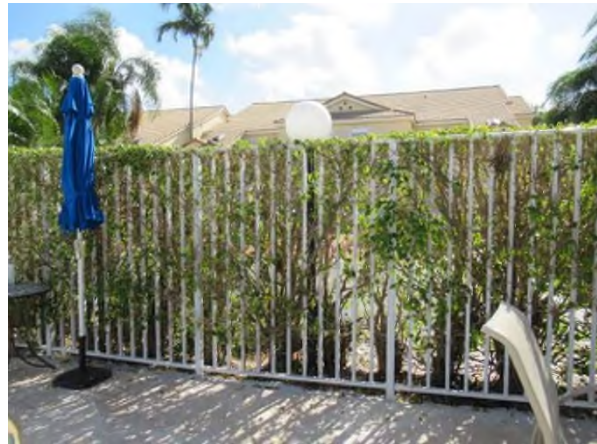
**St Tropez at Boca Golf Property**  
**M.A. Detail Report by Category**

|                                      |                  |
|--------------------------------------|------------------|
| <b>Painting - Total Current Cost</b> | <b>\$380,700</b> |
|--------------------------------------|------------------|

**St Tropez at Boca Golf Property**  
**M.A. Detail Report by Category**

**Metal Fencing/Security Lights - 2026**

|                     |              |                     |               |
|---------------------|--------------|---------------------|---------------|
| Asset ID            | 1006         | 1 Total             | @ \$25,000.00 |
| Exterior Components |              | Asset Actual Cost   | \$25,000.00   |
| Fencing/Security    |              | Percent Replacement | 100%          |
| Placed in Service   | January 1992 | Future Cost         | \$27,318.17   |
| Useful Life         | 30           |                     |               |
| Adjustment          | 4            |                     |               |
| Replacement Year    | 2026         |                     |               |
| Remaining Life      | 3            |                     |               |



**Salvage Value:** \$0.00

**Condition:** Average, based on limited visual inspection not covered by vegetation.

**Service Contract:** N/A

**Remarks:** The date in service was not provided. The Financial Statement reflects the estimated remaining life in 2022 as 4 years indicating replacement in 2026.. The Prestar Services Insurance valuation does not reflect the pool's metal fence or its useful life. A maintained metal fence's useful life can range from 30 to 40+ years. Utilizing a 30 year useful life +4 year life adjustment do to my limited viewing, and a date in service of 1992 4 year estimated remaining life and \$25,000 estimated replacement cost as reflected in the financial statement was utilized.

**St Tropez at Boca Golf Property**  
**M.A. Detail Report by Category**

|                                              |                 |
|----------------------------------------------|-----------------|
| <b>Fencing/Security - Total Current Cost</b> | <b>\$25,000</b> |
|----------------------------------------------|-----------------|

**St Tropez at Boca Golf Property  
M.A. Detail Report by Category**

**Swimming Pool Refinish - 2033**

|                     |           |                     |               |
|---------------------|-----------|---------------------|---------------|
| Asset ID            | 1012      | 1 Total             | @ \$10,000.00 |
| Exterior Components |           | Asset Actual Cost   | \$10,000.00   |
| Recreation/Pool     |           | Percent Replacement | 100%          |
| Placed in Service   | June 2016 | Future Cost         | \$13,439.16   |
| Useful Life         | 15        |                     |               |
| Adjustment          | 2         |                     |               |
| Replacement Year    | 2033      |                     |               |
| Remaining Life      | 10        |                     |               |



**Salvage Value:** \$0.00

**Condition:** Average to Good

**Service Contract:** N/A

**Remarks:** The Financial Statement reflect the estimated remaining life as 9 years, which indicates the pool's **Diamond Brite finish** and tile with an average life of 8 to 15 years was refinished approximately in 2016. The estimated current cost reflected on the financial statement is \$10,000, which based on the pool's size (15' x 3') and current visible inspection is a reasonable amount.

**St Tropez at Boca Golf Property  
M.A. Detail Report by Category**

|                                             |                 |
|---------------------------------------------|-----------------|
| <b>Recreation/Pool - Total Current Cost</b> | <b>\$10,000</b> |
|---------------------------------------------|-----------------|

**St Tropez at Boca Golf Property  
M.A. Detail Report by Category**

**Gutters/Downspouts - 2028**

|                        |           |                     |               |
|------------------------|-----------|---------------------|---------------|
| Asset ID               | 1008      | 1 System            | @ \$20,000.00 |
| Exterior Components    |           | Asset Actual Cost   | \$20,000.00   |
| Gutters and Downspouts |           | Percent Replacement | 100%          |
| Placed in Service      | June 2018 | Future Cost         | \$23,185.48   |
| Useful Life            | 10        |                     |               |
| Replacement Year       | 2028      |                     |               |
| Remaining Life         | 5         |                     |               |



**Salvage Value:** \$0.00  
**Condition:** Average  
**Service Contract:** N/A

**Remarks:** The gutters are attached to the fascia board and below the drip edge of the tile roofs. The Financial Statement reflect the estimated remaining life as 6 years, which indicates painting of all the units, pool building and gutters was done in 2018 and the estimated current cost for the gutters is \$20,000. Based on the foregoing, and utilizing a useful life of 10 years, and based on the 2022 financial statement it is projected the buildings and gutters will be repainted and gutters replaced in 2028.

**St Tropez at Boca Golf Property**  
**M.A. Detail Report by Category**

|                                                    |                 |
|----------------------------------------------------|-----------------|
| <b>Gutters and Downspouts - Total Current Cost</b> | <b>\$20,000</b> |
|----------------------------------------------------|-----------------|



**St Tropez at Boca Golf Property  
M.A. Detail Report by Category**

**Mailboxes - 2031**

|                     |            |                     |              |
|---------------------|------------|---------------------|--------------|
| Asset ID            |            | 5 Each              | @ \$5,000.00 |
| Exterior Components |            | Asset Actual Cost   | \$25,000.00  |
| Mailboxes           |            | Percent Replacement | 100%         |
| Placed in Service   | March 1986 | Future Cost         | \$31,669.25  |
| Useful Life         | 40         |                     |              |
| Adjustment          | 5          |                     |              |
| Replacement Year    | 2031       |                     |              |
| Remaining Life      | 8          |                     |              |



**Salvage Value:** \$0.00  
**Condition:** Average to Good  
**Service Contract:** None  
**Remarks:** Existing pedestal mailboxe are in average to good condition.  
 Repair or replacement of doors are paid from the maintenance budget. .

**St Tropez at Boca Golf Property**  
**M.A. Detail Report by Category**

|                                       |                 |
|---------------------------------------|-----------------|
| <b>Mailboxes - Total Current Cost</b> | <b>\$25,000</b> |
|---------------------------------------|-----------------|

**St Tropez at Boca Golf Property**  
**M.A. Detail Report by Category**

**Pool Pavers - 2036**

|                     |               |                     |               |
|---------------------|---------------|---------------------|---------------|
| Asset ID            | 1003          | 1 Total             | @ \$15,000.00 |
| Exterior Components |               | Asset Actual Cost   | \$15,000.00   |
| Pavers              |               | Percent Replacement | 100%          |
| Placed in Service   | December 2016 | Future Cost         | \$22,028.01   |
| Useful Life         | 20            |                     |               |
| Replacement Year    | 2036          |                     |               |
| Remaining Life      | 13            |                     |               |



**Salvage Value:** \$0.00  
**Condition:** Average to Good  
**Service Contract:** N/A

**Remarks:** The date of installation was not provided. The Financial Statement reflects the estimated remaining life as 14 years, a current estimated replacement cost of \$15,000. The Prestar Services Insurance valuation does not reflect the pavers, cost or useful life. Pavers useful life can range from 20 to 40+ years based on numerous factor.. Utilizing a 20 year useful life, 14 year remaining life, calculates to a date in service of 2016. The \$15,000 amount in the financial statement is deemed a reasonable amount for reserves.

**St Tropez at Boca Golf Property**  
**M.A. Detail Report by Category**

|                                    |                 |
|------------------------------------|-----------------|
| <b>Pavers - Total Current Cost</b> | <b>\$15,000</b> |
|------------------------------------|-----------------|

**St Tropez at Boca Golf Property  
M.A. Spread Sheet**

|                               | 2023 | 2024 | 2025 | 2026          | 2027           | 2028          | 2029 | 2030 | 2031             | 2032          |
|-------------------------------|------|------|------|---------------|----------------|---------------|------|------|------------------|---------------|
| <b>Description</b>            |      |      |      |               |                |               |      |      |                  |               |
| Asphalt Road-Seal Coating     |      |      |      | 10,927        |                |               |      |      |                  | 13,048        |
| Gutters/Downspouts            |      |      |      |               |                | 23,185        |      |      |                  |               |
| Mailboxes                     |      |      |      |               |                |               |      |      | 31,669           |               |
| Metal Fencing/Security Lights |      |      |      | 27,318        |                |               |      |      |                  |               |
| Painting-Exterior             |      |      |      |               | 142,827        |               |      |      |                  |               |
| Painting-Exterior             |      |      |      |               |                |               |      |      |                  |               |
| Painting-Exterior             |      |      |      |               |                |               |      |      |                  |               |
| Pool Pavers                   |      |      |      |               |                |               |      |      |                  |               |
| Roofing-S Cement Tile         |      |      |      |               |                |               |      |      | 2,793,861        |               |
| Swimming Pool Refinish        |      |      |      |               |                |               |      |      |                  |               |
| <b>Year Total:</b>            |      |      |      | <b>38,245</b> | <b>142,827</b> | <b>23,185</b> |      |      | <b>2,825,531</b> | <b>13,048</b> |

**St Tropez at Boca Golf Property  
M.A. Spread Sheet**

|                               | 2033          | 2034 | 2035 | 2036          | 2037           | 2038          | 2039 | 2040 | 2041 | 2042 |
|-------------------------------|---------------|------|------|---------------|----------------|---------------|------|------|------|------|
| <b>Description</b>            |               |      |      |               |                |               |      |      |      |      |
| Asphalt Road-Seal Coating     |               |      |      |               |                | 15,580        |      |      |      |      |
| Gutters/Downspouts            |               |      |      |               |                | 31,159        |      |      |      |      |
| Mailboxes                     |               |      |      |               |                |               |      |      |      |      |
| Metal Fencing/Security Lights |               |      |      |               |                |               |      |      |      |      |
| Painting-Exterior             |               |      |      |               |                |               |      |      |      |      |
| Painting-Exterior             |               |      |      |               | 191,948        |               |      |      |      |      |
| Painting-Exterior             |               |      |      |               |                |               |      |      |      |      |
| Pool Pavers                   |               |      |      | 22,028        |                |               |      |      |      |      |
| Roofing-S Cement Tile         |               |      |      |               |                |               |      |      |      |      |
| Swimming Pool Refinish        | 13,439        |      |      |               |                |               |      |      |      |      |
| <b>Year Total:</b>            | <b>13,439</b> |      |      | <b>22,028</b> | <b>191,948</b> | <b>46,739</b> |      |      |      |      |

**St Tropez at Boca Golf Property  
M.A. Spread Sheet**

|                               | 2043 | 2044          | 2045 | 2046 | 2047           | 2048          | 2049 | 2050          | 2051 | 2052 |
|-------------------------------|------|---------------|------|------|----------------|---------------|------|---------------|------|------|
| <b>Description</b>            |      |               |      |      |                |               |      |               |      |      |
| Asphalt Road-Seal Coating     |      | 18,603        |      |      |                |               |      | 22,213        |      |      |
| Gutters/Downspouts            |      |               |      |      |                | 41,876        |      |               |      |      |
| Mailboxes                     |      |               |      |      |                |               |      |               |      |      |
| Metal Fencing/Security Lights |      |               |      |      |                |               |      |               |      |      |
| Painting-Exterior             |      |               |      |      |                |               |      |               |      |      |
| Painting-Exterior             |      |               |      |      |                |               |      |               |      |      |
| Painting-Exterior             |      |               |      |      | 257,962        |               |      |               |      |      |
| Pool Pavers                   |      |               |      |      |                |               |      |               |      |      |
| Roofing-S Cement Tile         |      |               |      |      |                |               |      |               |      |      |
| Swimming Pool Refinish        |      |               |      |      |                | 20,938        |      |               |      |      |
| <b>Year Total:</b>            |      | <b>18,603</b> |      |      | <b>257,962</b> | <b>62,813</b> |      | <b>22,213</b> |      |      |